

2025

Bachelor in Business Administration

Course Title: **Business Environment**

Code No: **MGT236** Semester: **5th Semester**

Full Marks: **60** Pass Marks: **24** Time: **the government gave the clearance for the acquisition in December 1999 (i.e., more than a year after the application was made), the prices had bounced back to \$24 per barrel. And the Elf of France (French brand of oils) had virtually took away the deal from under IOC's nose by acquiring the Premier Oil. The RBI, which gave IOC the approval for \$15 million investment, took more than a year for clearing the deal because the structure for such investments were not in place, it was reported.**

a. Discuss internal and global environments of business revealed by this case.
b. Discuss whether it is the domestic or global environment that hinders the globalization of business.
c. Even if Elf had not acquired Premier Oil, what would have been the impact of the delay in the clearance on IOC?
d. What could be the best alternative to IOC whether to invest in Iranian Company or search the new company for investment?

Candidates are required to answer the questions in their own words as far as practicable.

Section A

Brief Answer Questions: [10 × 2 = 20]

1. State major four provisions of prevailing tourism policy of Nepal.
2. Show two relations of e-business and consumer protection.
3. Mention the impacts of family structure in business.
4. Write any two objectives of BIMSTEC.
5. List the benefits of economic integration.
6. Write any two components of political structure of Nepal.
7. State any two quantitative tools of Monetary Policy.
8. Define organizational culture as component of business environment.
9. Write briefly about trade and export promotion centre.
10. Mention any four roles of business towards government.

Section B

Short Answer Questions: (Attempt any SIX Questions) [6 × 5 = 30]

11. Explain the process of environmental analysis.
12. Describe major five emerging socio-cultural trends in Nepal.

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13. List out the internal environmental factors of business organization and briefly discuss their influences in business success.
 14. Briefly overview the provisions of investment legislation.
 15. Explain the major legal provisions of business start-up in Nepal.
 16. Introduce Small and Cottage Industry Development Board. Also mention its major roles in developing small and cottage industry.
 17. Why is regional integration taken as power building block for the promotion of business? Explain.

Section C

Long Answer Questions:(Attempt any THREE Questions)[3 × 10 = 30]

18. Nepal has been adopting the concept of planned economic development since last 7 decades. However, the expected results have not been achieved yet. What would be the possible reasons behind this? Give your opinion.
19. Most of business sectors are liberalized in Nepal even though Nepal is not able to take momentum in the specialized business sector like technology and tourism. Discuss the statement based on the impact of liberalization in the specialized business sector of Nepal.
20. Frequent change in the government leads to policy change that reduces the predictability of the business and erodes investor's confidence. In the light of this statement critically discuss the major political factors affecting business environment in Nepal.
21. Write the features of Nepalese agriculture and discuss about contribution of agriculture sector in economic spheres of the country.

Section D

Comprehensive Answer / Case / Situation Analysis Questions:[4 × 5 = 20]

22. Analyze the following case carefully and answer the questions that follow:The public sector Indian Oil Corporation (IOC), the major oil refining and marketing company which was also the channeling agency for oil imports and the only Indian company in the Fortune 500, in terms of sales, planned to make a project (foray) in to the foreign market by acquiring a substantial stake in the Iranian company (Balal Oil field) of the Premier Oil. The project was estimated to have recoverable oil reserves of about 11 million tones and IOC was supposed to get nearly four million tones.When IOC started talking to the Iranian company for the acquisition in October 1998, oil prices were at rock bottom (\$11 per barrel) and most refining companies were closing shop due to falling margins. Indeed, a number of good oil properties in the Middle East were up for sale. Using this opportunity, several developing countries made a large profit by acquiring oil equities abroad.For this, IOC needed Government's permission to invest abroad. Application by Indian company for investing abroad is to be scrutinized by a special committee represented by the Reserve Bank of India (RBI) and the Finance and Commerce ministries. By the time the government gave the clearance for the acquisition in December 1999 (i.e., more than a year after the application was made), the prices had bounced back to \$24 per barrel. And the Elf of France (French brand of oils) had virtually took away the deal from under IOC's nose by acquiring the Premier Oil.The RBI, which gave IOC the approval for \$15 million investment, took more than a year for clearing the deal because the structure for such investments were not in place, it was reported.a. Discuss internal and global environments of business revealed by this case.b. Discuss whether it is the domestic or global environment that hinders the globalization of business.c. Even if Elf had not acquired Premier Oil, what would have been the impact of the delay in the clearance on IOC?d.

What could be the best alternative to IOC whether to invest in Iranian Company or search the new company for investment?